

Question 3

2. Interest income should be :

$$40000 \times 9\% \times \frac{12}{12} = 3600$$

BUT Accountant :

Dr Bank (SFP) 3900

Cr Interest income (P/L) 3900

Correction :

Dr Interest income (P/L) 300

Cr Interest received

in advance (SFP) 300

3. Security cost should be :

$$1480 \times 12 = 17760$$

BUT Accountant :

Dr Security cost (P/L) 16280

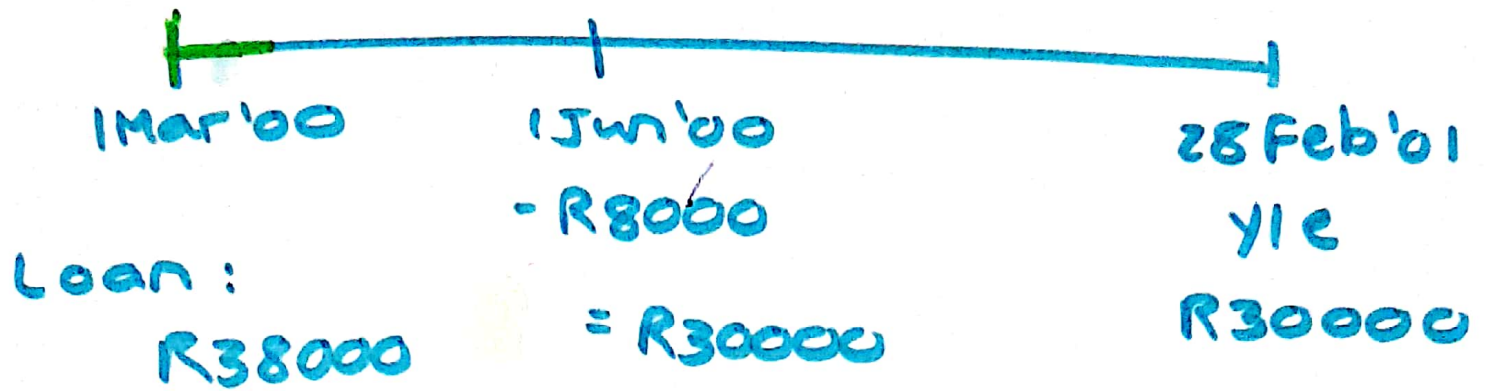
Cr Bank (SFP) 16280

Correction :

Dr security cost (P/L) 1480

Cr Accrued expense (SFP)
1480

7. Interest exp should be :



$$\text{Interest: } (38000 \times 15\% \times \frac{3}{12}) + (30000 \times 15\% \times \frac{9}{12})$$
$$= 4800$$

BUT paid 5175] → $\begin{array}{l} \text{Dt Interest} \\ \text{Exp (pl)} \quad 5175 \\ \text{cr Bank (SFP)} \\ \quad 5175 \end{array}$

∴ 375 Expense paid in advance

Correction:

$\begin{array}{l} \text{Dt Exp}_{\text{paid in Adv. / Prepaid exp (SFP)}} \quad 375 \\ \text{cr Interest exp (pl)} \quad 375 \end{array}$

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